Module 9 · Activity

Assess the Campus Scholarship Screener

AI Impact and Risk Assessment · a fictional scenario

307307 BI Methods for Generative AI · AI Governance · University of Petra

Group name	
Members	
Date	

How this activity works

- Work in groups of 3–4. Type your answers directly into the boxes.
- There is no single right answer. What matters is that you can explain each choice.
- **Suggested time:** Part A 10 min · Part B 20 min · Part C 25 min · Parts D and E 15 min. Your lecturer may adjust this.
- Use the lecture slides if you need to check a term. Rows shaded in green are worked examples.

The scenario (fictional)

A university receives about 1,200 scholarship applications each year for 15 awards. Reading them all takes the committee many weeks, so the university is considering the Campus Scholarship Screener, an AI tool bought from an outside vendor.

How it would work

- Each applicant uploads a transcript, family income documents, a personal essay and a list of activities.
- The tool reads these files, gives each applicant a score from 0 to 100, and ranks everyone.
- The top 60 go to a committee of three staff members, who choose the 15 winners.
- Everyone else automatically receives a “not shortlisted” email.
- The vendor trained the tool on ten years of past committee decisions and stores all applicant data on its own cloud servers.
- In a small pilot, the tool was less accurate for applicants who had transferred from another university or had unusual transcripts.

Part A · Understand the system

Step 1 of an impact assessment: before judging anything, describe what the system does.

Question	Your answer
1. What is the tool’s purpose?	
2. Who uses it?	

Question	Your answer
3. What data does it use?	
4. Who is affected by what it produces? List everyone you can think of, including people who never see the tool.	
5. Who makes the final decision about each applicant?	

Part B · Impact assessment

For each area, describe one realistic impact (who is affected, and how), rate how serious it could be (High, Medium or Low), and suggest one control. Complete at least five areas. For any area you skip, write “not relevant” and say why.

Area of impact	Possible impact: who is affected, and how?	Severity	A control that could help
1. Individuals and fundamental rights *Fair treatment, privacy, dignity, ability to challenge a decision*	Applicants with transfer or unusual transcripts may be scored lower and rejected automatically, with no explanation and no way to appeal.	**High**	A person reads every decline. Applicants can ask for a human review.
2. Ethics and society *Trust, exclusion, over-reliance on automation*			
3. Legal and regulatory *Data protection, equal treatment, contracts*			
4. Technical and operations *Accuracy, reliability, explainability, known limits*			
5. Safety and security *Misuse, tampering, unauthorized access*			
6. Organization and business *Reputation, cost, changing staff roles*			
7. Environment *Energy and resource use*			
8. Third parties and stakeholders *The vendor, the cloud host, partners*			

Part C · Build the risk register

Choose five risks, from Part B or new ones. For each, rate likelihood and impact from 1 to 3, multiply to get the score, read off the level, choose a treatment, and name an owner. Use a job title for the owner, not a person's name.

> **Key:** Rate likelihood (L) and impact (I) as 1 = Low, 2 = Medium, 3 = High. Score = L × I. Level: 0–3 Low, 4–6 Medium, above 6 High. Treatment: Avoid, Reduce, Transfer or Accept.
>
> **Stuck?** Think about groups the tool might treat unfairly · documents stored on the vendor's servers · a committee that stops reading applications · essays written by AI or forged documents.

ID	Risk: what could go wrong?	Type	L	I	Score	Level	Treatment	Control	Owner
R1	The vendor updates the model without telling the university, so rankings change	Operational	2	2	4	**Medium**	Transfer and reduce	Contract requires notice of changes; re-test before each application round	Procurement manager
R2									
R3									
R4									
R5									
R6									

Types: Technical, Ethical, Legal, Security, Operational or Reputational.

Part D · Decision and approval

Steps 5 to 7 of an impact assessment: document the decision, get approval, and plan to review.

1. Your recommendation (mark one)	☐ Approve ☐ Approve with conditions ☐ Do not approve
2. Why? Explain in about three sentences, using your highest-rated risks.	
3. Two conditions that must be met before launch	
4. Three events that would make you assess the tool again	
5. Who should sign off before launch? List at least three roles.	

Part E · Reflection

Which risk was hardest to rate, and why?	
What would you check every month after launch?	

This scenario is fictional and is not based on any real university system.